

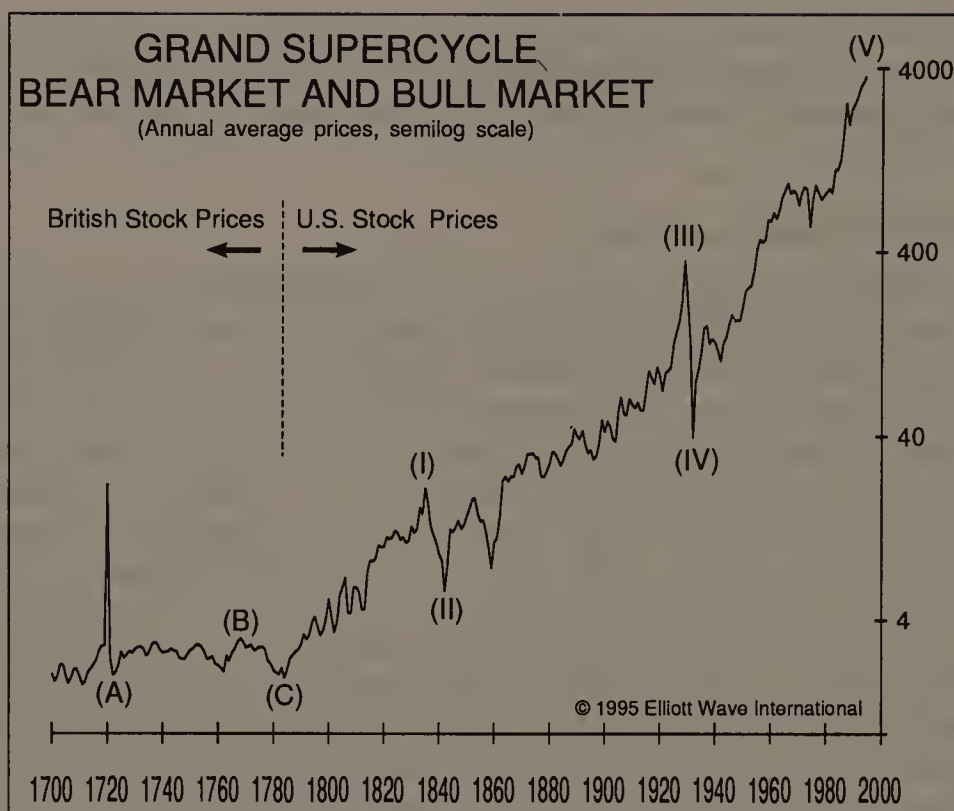


Figure 2-2

despite prolonged periods of vigorous economic growth in England, a fact that is consistent with a conclusion demanded by the mere fact of the Wave Principle: *stock price movements are mass psychological phenomena*, not the results of economic conditions. As market analyst Charles Kirkpatrick expressed it, “the crash from the South Sea bubble must have really dampened enthusiasm for stock investment for a long time.”

Notice that waves (II) and (IV) within the Grand Supercycle advance are smaller and far briefer than the bear market of the 1700s. This fact indicates that the correction of the 1700s is of one degree *larger* than each of those and is therefore the same degree as the ensuing rise, which is Grand Supercycle.

One may, of course, object to the idea of connecting 18th century English share prices to American stock prices to get a continuous picture, but as Americans (for the most part) *were* Britons at the time, American fortunes were closely entwined with English ones. Indeed, they still are today, as the similarities in their long term